Oakridge Capital Holdings, Inc. (FTC) - Form 10-K

FY2024

Oakridge Capital Holdings, Inc.

Form 10-K for the Fiscal Year Ended 2024

Ticker: FTC | Sector: Financials | HQ: California

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Oakridge Capital Holdings, Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Oakridge Capital Holdings, Inc. ("Oakridge," "we," "our," or "us") is a global asset management company headquartered in California. We provide investment management products and services to individual and institutional clients across a range of asset classes and investment strategies. For the fiscal year ended 2024, we generated net revenue of $9,553.3 million. Our revenue is derived primarily from investment management fees, which are generally based on the value of assets we manage on behalf of our clients.

Our Business

We offer investment management products and services across equity, fixed income, multi-asset, and alternative investment strategies, distributed to individual and institutional clients through a combination of direct relationships and third-party intermediaries. A substantial portion of our total assets, approximately 32.8% at fiscal year end, consists of goodwill and acquired intangible assets, reflecting our history of growth through acquiring complementary investment management businesses and distribution capabilities.

Recent Acquisition

During fiscal 2024, we completed the acquisition of Carrowgate Capital Partners, Inc., an investment management firm, to add complementary investment strategies and expand our third-party distribution reach. Carrowgate is being integrated into our existing investment management and distribution operations.

Regulation

As an investment adviser, we are subject to extensive regulation by securities regulators, which govern, among other things, our fiduciary obligations to clients, our marketing and distribution practices, and our investment management activities.

Human Capital

Our workforce supports our investment management, distribution, and corporate support functions globally. We compete for investment professionals, distribution talent, and technology personnel, and we seek to offer competitive compensation and benefits along with training and development opportunities. We do not have any collective bargaining agreements in the United States and believe our relationships with our employees are good.

Competition

The investment management industry is highly competitive. We compete with other asset managers, including larger diversified financial institutions and specialized investment boutiques, for client assets and distribution relationships. We believe the principal competitive factors in our industry are investment performance, breadth of product offerings, distribution reach, and fee levels.

Item 1A. Risk Factors

Risks Related to Our Business

Our revenue is directly affected by the level and performance of financial markets, since our investment management fees are generally based on the value of client assets under management. A decline in equity or fixed income markets, whether due to macroeconomic conditions, geopolitical events, or other factors, would reduce the value of assets we manage and, correspondingly, our fee revenue.

Our growth strategy has depended in part on acquiring complementary investment management and distribution businesses, and goodwill and acquired intangible assets together represented approximately 32.8% of our total assets as of fiscal year end 2024. A significant impairment of our goodwill or intangible assets, resulting from a deterioration in the performance or outlook of an acquired business, could adversely affect our results of operations.

Client outflows or underperformance relative to benchmarks could reduce our assets under management and fee revenue. Our ability to retain and grow client assets depends on our investment performance relative to competitors and benchmarks, as well as the quality of our client service and distribution relationships.

Risks Related to Acquisitions

We may not realize the anticipated benefits of our acquisition of Carrowgate Capital Partners, Inc. completed during fiscal 2024. Integrating an acquired investment management business involves numerous risks, including the diversion of management attention, the potential loss of key investment professionals or client relationships of the acquired business, and the possibility that anticipated benefits in investment strategies or distribution reach are not realized on the timeline we expect or at all. If we are unable to successfully integrate Carrowgate's operations, our results of operations could be adversely affected.

Risks Related to Regulation

We are subject to extensive regulation as an investment adviser, and changes in regulatory requirements could increase our compliance costs or restrict our activities. Our regulators have broad discretion over our fiduciary obligations, marketing practices, and the conduct of our investment management business.

Risks Related to Our Financial Position

Our liabilities represented approximately 61.9% of our total assets as of fiscal year end 2024, including $2,619.7 million of long-term debt. Our level of indebtedness could limit our financial flexibility and increase our vulnerability to adverse changes in interest rates.

Risks Related to Cybersecurity and Information Technology

Our business depends on the security and reliability of the information technology systems that support our investment management and client service operations. As described in Item 1C, "Cybersecurity," while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems, client data, or those of our third-party service providers could disrupt our operations, result in financial losses, and harm our reputation.

General Risk Factors

Our quarterly and annual operating results may fluctuate due to factors that are difficult to predict, including market performance, the timing of client inflows and outflows, and the mix of assets under management across strategies with different fee rates.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity program informed by the NIST Cybersecurity Framework and ISO/IEC 27001, designed to identify, assess, and manage risks from cybersecurity threats to our information systems and the data we and our clients rely on. We periodically benchmark our practices against these frameworks using a combination of internal assessment and independent outside expertise.

Our program includes recurring risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, escalating, containing, and remediating cybersecurity incidents. We also assess the cybersecurity practices of third-party vendors and service providers that support our investment management and client service operations as part of our vendor management process.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, like other asset managers, we are a target of cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise sensitive client data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

A dedicated Technology and Cybersecurity Committee of the Board oversees our cybersecurity risk management program. Management provides the committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face. The committee in turn reports to the full Board on cybersecurity matters it believes warrant the Board's attention.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Oakridge Capital Holdings, Inc. is a global asset management company. For the fiscal year ended 2024, we generated net revenue of $9,553.3 million, operating income of $412.4 million (an operating margin of 4.3%), and net income of $564.4 million (a net margin of 5.9%). During the year, we completed the acquisition of Carrowgate Capital Partners, Inc. to add complementary investment strategies and expand our third-party distribution reach.

Results of Operations

The following table summarizes our results of operations for the fiscal year ended 2024 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net revenue	$9,553.3	100.0%
Other operating expenses	9,140.9	95.7%
Operating income	412.4	4.3%
Interest expense	100.3	1.1%
Pretax income	312.1	3.3%
Income tax benefit	(252.3)	(2.6)%
Net income	564.4	5.9%

Our operating margin of 4.3% reflects the cost of distribution, investment management, and corporate support functions required to support our global asset management business. During fiscal 2024, we recognized a net income tax benefit of $252.3 million, primarily reflecting the resolution of discrete tax items during the year, resulting in net income of $564.4 million exceeding our pretax income of $312.1 million for the period.

Liquidity and Capital Resources

We generated $945.8 million of cash from operating activities during fiscal 2024, reflecting net income of $564.4 million, non-cash depreciation and amortization of $150.9 million, and changes in working capital and other items of $230.5 million. We used $2,411.3 million of cash in investing activities, including capital expenditures of $200.1 million and $2,211.2 million used for the acquisition of Carrowgate Capital Partners, Inc. Financing activities provided $1,656.1 million of cash, as proceeds reflected in other financing activities of $1,927.4 million more than offset $271.3 million used for share repurchases. Taken together, our cash and cash equivalents increased by $190.6 million during the year.

As of fiscal year end 2024, we had total debt of $2,619.7 million and stockholders' equity of $12,540.4 million. We believe our cash flow from operations, together with access to capital markets, will be sufficient to fund our operating needs, debt service, and capital return program for at least the next twelve months.

Critical Accounting Estimates

Goodwill and Intangible Assets. We test goodwill and indefinite-lived intangible assets for impairment at least annually, and more frequently if indicators of impairment arise. Goodwill and acquired intangible assets together represented approximately 32.8% of our total assets as of fiscal year end 2024; a deterioration in the performance or outlook of one or more of our underlying businesses could require us to recognize a material non-cash impairment charge.

Revenue Recognition. Our investment management fee revenue is generally recognized over time as services are provided, based on the value of assets under management, which requires us to estimate fee rates and contractual terms across our client relationships.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Oakridge Capital Holdings, Inc. for the fiscal year ended 2024. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$4,417.4
Property, plant and equipment, net	892.4
Goodwill	5,822.2
Intangible assets, net	4,961.2
Other assets	16,840.4
Total assets	$32,933.5

Liabilities

Line item	Amount
Long-term debt	$2,619.7
Other liabilities	17,773.4
Total liabilities	$20,393.1

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$985.7
Retained earnings	13,544.0
Accumulated other comprehensive loss	(412.7)
Other equity	(1,576.6)
Total stockholders' equity	$12,540.4

Line item	Amount
Total liabilities and stockholders' equity	$32,933.5

Consolidated Statement of Income (in millions)

Line item	Amount
Net revenue	$9,553.3
Other operating expenses	9,140.9
Operating income	412.4
Interest expense	100.3
Pretax income	312.1
Income tax benefit	(252.3)

Line item	Amount
Net income	$564.4

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$564.4
Depreciation and amortization	150.9
Changes in working capital and other	230.5
Cash from operating activities	945.8

Investing activities:

Line item	Amount
Capital expenditures	(200.1)
Other investing activities	(2,211.2)
Cash used in investing activities	(2,411.3)

Financing activities:

Line item	Amount
Share repurchases	(271.3)
Other financing activities	1,927.4
Cash from financing activities	1,656.1

Line item	Amount
Net increase in cash	$190.6

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and acquired intangible assets totaled $5,822.2 million and $4,961.2 million, respectively, as of fiscal year end 2024, together representing approximately 32.8% of total assets. We test goodwill and indefinite-lived intangible assets for impairment at least annually; no impairment was recognized during fiscal 2024.

Note 2. Debt Long-term debt outstanding totaled $2,619.7 million as of fiscal year end 2024.

Note 3. Income Taxes We recognized a net income tax benefit of $252.3 million during fiscal 2024, primarily reflecting the resolution of discrete tax items during the year, which resulted in net income exceeding pretax income for the period.

Note 4. Commitments and Contingencies We are subject to various claims, legal proceedings, and regulatory matters arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.

Note 5. Business Combination During fiscal 2024, we acquired Carrowgate Capital Partners, Inc. for approximately $2,211.2 million in cash, reflected within investing activities. The purchase price is reflected within the goodwill and intangible assets balances on our consolidated balance sheet. Carrowgate is being integrated into our existing investment management and distribution operations.